Ch #3 - Employment Income - Handout #3 (ANSWER)

Does Sandy qualify for the Reduced Standby Charge (50%+ work related KMs)?

Total Work KM =	14,000	=	73.68% (Yes - Reduction to Standby Charge)
Total KM	19,000		

Note: Driving from home to work is considered personal driving

Calc'n of Standby Charge (Company Leased Vehicle):

= 2/3 x Lease Pmts x Availability Factor
= 2/3 x (12 mths x $880) x [(125/30) / (365/30)]
= 2/3 x $10,560 x [4 Rounded / 12 Rounded]
= $2,347 Pre-Standby Charge Reduction

Standby Charge Reduction:

Non-Employment KM =	5,000	=	74.99%
1,667 KM per Mth Available (Rounded)	1,667 x 4		

Total Standby Charge:

Gross Standby Charge	$2,347
x Charge Reduction	74.99%
Standby Charge Benefit	**$1,760**